THREE ACRE FARMS PLC



INTERIM FINANCIAL STATEMENTS
FOR THE SIX MONTHS ENDED 30 JUNE 2026

QUARTERLY REVIEW *for the second quarter ended 30 June 2026*

The amalgamated Company's revenue for the second quarter of 2026 was Rs. 1,862.1Mn compared to Rs. 1,231.5Mn reported by the Group during the same quarter of 2025, representing an increase of Rs. 630.6Mn or 51%. The amalgamated Company's revenue for the first half of 2026 was Rs. 3,520.6Mn compared to Rs. 2,703.3Mn reported by the Group during the first half of 2025, representing an increase of Rs. 817.3Mn or 30%.

The amalgamated Company reported a profit of Rs. 511.0Mn for the second quarter of 2026 compared to Rs. 108.6Mn reported by the the Group during the same quarter of 2025, representing an increase Rs. 402.4Mn or 370%. The amalgamated Company reported a profit of Rs. 925.1Mn for the first half of 2026 compared to Rs. 458.8Mn reported by the Group during the first half of 2025, representing an increase Rs. 466.3Mn or 102%.

The Group recorded strong revenue growth during the quarter under review compared with the corresponding quarter of the previous year. This performance was primarily driven by higher demand for Broiler Day-Old Chicks (DOCs), supported by consistent product quality and favourable market prices, arising from strong demand for the end product processed chicken. The Group's profitability improved significantly during the quarter, mainly due to both higher sales volumes and average selling prices for Broiler DOCs, which outweighed the increased operating costs arising from challenging macro-economic conditions including high inflation, exchange rate depreciation, higher raw material prices and increased energy costs.

The Company have complied with the Sri Lanka Financial Reporting Standards in the preparation of the Interim Financial Statements for the period ended 30 June 2026.

There have been no other events subsequent to the interim period which require disclosure in the Interim Financial Statements.

(Sgd.) Cheng Chih Kwong
Executive Director and Chief Executive Officer

(Sgd.) S S P Corporate Services (Private) Limited
Secretaries

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

All amounts in Sri Lankan Rupees thousands

For the three months ended 30 June	2026	2025	Change
Revenue	1,862,109	1,231,498	51%
Cost of sales	(1,305,827)	(1,202,339)	9%
Gross profit	**556,282**	**29,159**	**NM**
Other operating income	3,515	2,709	30%
Selling and distribution expenses	(1,545)	(6,350)	(76%)
Administrative expenses	(11,085)	(13,515)	(18%)
Operating profit	**547,167**	**12,003**	**NM**
Interest income	207,064	142,708	45%
Net finance income / (cost)	49	(752)	NM
Profit before tax	**754,280**	**153,959**	**390%**
Taxation	(243,281)	(45,350)	436%
Profit for the period	**510,999**	**108,609**	**370%**
Other comprehensive income for the period, net of tax	-	-	
Total comprehensive income for the period	**510,999**	**108,609**	**370%**
Profit attributable to :			
Equity holders of the parent	510,999	108,609	
	510,999	**108,609**	
Total comprehensive income attributable to :			
Equity holders of the parent	510,999	108,609	
	510,999	**108,609**	
Basic earnings per share (Rs.)	**21.70**	**4.61**	

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

All amounts in Sri Lankan Rupees thousands

For the six months ended 30 June	2026	2025	Change
Revenue	3,520,568	2,703,344	30%
Cost of sales	(2,527,621)	(2,319,375)	9%
Gross profit	**992,947**	**383,969**	**159%**
Other operating income	6,937	4,967	40%
Selling and distribution expenses	(3,067)	(9,863)	(69%)
Administrative expenses	(23,719)	(26,411)	(10%)
Operating profit	**973,098**	**352,662**	**176%**
Interest income	375,579	302,216	24%
Net finance cost	(4,259)	(4,210)	1%
Profit before tax	**1,344,418**	**650,668**	**107%**
Taxation	(419,281)	(191,900)	118%
Profit for the period	**925,137**	**458,768**	**102%**
Other comprehensive income for the period, net of tax	-	-	
Total comprehensive income for the period	**925,137**	**458,768**	**102%**
Profit attributable to :			
Equity holders of the parent	925,137	458,768	
	925,137	**458,768**	
Total comprehensive income attributable to :			
Equity holders of the parent	925,137	458,768	
	925,137	**458,768**	
Basic earnings per share (Rs.)	**39.29**	**19.48**	

STATEMENT OF FINANCIAL POSITION

All amounts in Sri Lankan Rupees thousands

As at	30.06.2026	31.12.2025
Assets		
Non-current assets		
Property, plant and equipment	1,462,383	1,375,742
Biological assets	1,220,462	1,261,172
Total non-current assets	**2,682,845**	**2,636,914**
Current assets		
Biological assets	55,284	97,484
Inventories	629,047	402,145
Trade and other receivables	242,392	249,465
Amount due from related companies	1,809	1,666
Cash and cash equivalents	8,460,664	8,422,155
Total current assets	**9,389,196**	**9,172,915**
Total assets	**12,072,041**	**11,809,829**
Equity		
Stated capital	623,604	623,604
Retained earnings	8,941,893	8,958,556
Total equity	**9,565,497**	**9,582,160**
Liabilities		
Non-current liabilities		
Deferred tax liabilities	408,699	435,116
Employee benefits	87,422	79,417
Total non-current liabilities	**496,121**	**514,533**
Current liabilities		
Trade and other payables	1,525,340	1,458,176
Amount due to related companies	485,083	254,960
Total current liabilities	**2,010,423**	**1,713,136**
Total liabilities	**2,506,544**	**2,227,669**
Total equity and liabilities	**12,072,041**	**11,809,829**
Net asset per share (Rs.)	**406.26**	**406.97**

***(Sgd.)* K. A. R. S. Perera**
General Manager

***(Sgd.)* Wickrema Senaka Weerasooria**
Non-Executive Chairman

***(Sgd.)* Cheng Chih Kwong**
Executive Director and Chief Executive Officer

STATEMENT OF CHANGES IN EQUITY

All amounts in Sri Lankan Rupees thousands

	Stated capital	Retained earnings	Total equity
Balance as at 1 January 2025	623,604	8,128,155	8,751,759
Profit for the period	-	458,768	458,768
Other comprehensive income for the period, net of tax	-	-	-
Dividend paid	-	(706,350)	(706,350)
Balance as at 30 June 2025	623,604	7,880,573	8,504,177
Balance as at 1 January 2026	623,604	8,958,556	9,582,160
Profit for the period	-	925,137	925,137
Other comprehensive income for the period, net of tax	-	-	-
Dividend paid	-	(941,800)	(941,800)
Balance as at 30 June 2026	623,604	8,941,893	9,565,497

STATEMENT OF CASH FLOWS

All amounts in Sri Lankan Rupees thousands

For the six month ended 30 June	2026	2025
Operating activities		
Profit before tax	1,344,418	650,668
Adjustments:		
Depreciation	72,074	51,174
Usage of biological assets	557,758	394,412
Loss on disposal of property, plant and equipment	-	19
Exchange gain	(160)	(2,703)
Interest income	(375,579)	(302,216)
Interest expenses	4,419	6,913
Changes in working capital		
-Trade and other receivables	(98,540)	(305,118)
-Inventories	(226,902)	93,060
-Trade and other payables	(175,447)	(84,411)
-Amount due from related companies	(143)	(102,684)
-Amount due to related companies	230,123	(103,270)
Employee benefits	9,000	4,200
Cash generated from operations	**1,341,021**	**300,044**
Exchange gain	160	2,703
Interest received	481,192	413,745
Interest paid	(4,419)	(6,913)
Employee benefits paid	(995)	(589)
Tax paid	(203,088)	(248,670)
Net cash generated from operating activities	**1,613,871**	**460,320**
Investing activities		
Purchase of property, plant and equipment	(158,715)	(196,020)
Purchase of biological assets	(474,847)	(246,465)
Net cash used in investing activities	**(633,562)**	**(442,485)**
Financing activities		
Dividend paid	(941,800)	(706,350)
Short-term investment	-	2,819,317
Net cash (used in) / generated from financing activities	**(941,800)**	**2,112,967**
Increase in cash and cash equivalents	**38,509**	**2,130,802**
Movement in cash and cash equivalents		
At the beginning of the year	8,422,155	64,459
Increase for the period	38,509	2,130,802
Balance at the end of the period	**8,460,664**	**2,195,261**

NOTES TO THE INTERIM FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

Three Acre Farms PLC (the "Company") is a "Quoted Public Company" with limited liability, incorporated and domiciled in Sri Lanka. The address of the Company's registered office is No. 15, Rock House Lane, Colombo 15, Sri Lanka.

The principal businesses of the Company is selective breeding, hatching, sale of Commercial Day Old Chicks (DOCs), both Broiler (for chicken meat) and Layer (for the production of table eggs), grandparent farm operation and commercial broiler farming.

The Company was listed in the Colombo Stock Exchange under the Food and Beverage Sector. The parent company, Ceylon Grain Elevators PLC holds 57.21% of the issued share capital of the Company.

2. APPROVAL OF FINANCIAL STATEMENTS

The interim financial statements of the Company for the six months ended 30 June 2026 are unaudited and authorised for issue by the Board of Directors on 31 July 2026.

3. BASIS OF PREPARATION

The interim financial statements of the Company has been prepared in compliance with Sri Lanka Accounting Standard (LKAS) 34 - Interim Financial Reporting.

The interim financial statements have been prepared on a historical cost basis except for defined benefit obligation and biological assets.

4. ACCOUNTING POLICIES

The accounting policies adopted are consistent with those of the previous financial year.

5. CONTINGENT LIABILITIES

There has not been any significant change in the nature of the contingent liabilities, which were disclosed in the Annual Report for the year ended 31 December 2025.

6. EVENTS AFTER THE REPORTING PERIOD

Subsequent to 30 June 2026, there are no events which require adjustments to or disclosure in the financial statements,

7. COMPARATIVE INFORMATION

The presentation and classification of the financial statements of the previous period have been adjusted, where relevant, to improve comparability with the current period.

As approved by the Board of Directors at the meeting held on 12 November 2025, Millennium Multibreeder Farms (Pvt) Limited and Ceylon Pioneer Poultry Breeders Limited were amalgamated with the Company (Three Acre Farms PLC) with effect from 1 January 2026, and the Company continues as the amalgamated entity. Accordingly, the current year reflects the results of the amalgamated Company, while the comparative period presents the Group results for better comparability.

8. NM – Changes in percentage term is Not Meaningful.

INVESTOR INFORMATION

(01) Market Price per Share	As at 30.06.2026	As at 30.06.2025
Highest Market Price (Rs.)	695.00	484.75
Lowest Market Price (Rs.)	575.00	290.00
Last Traded Price (Rs.)	600.00	474.50

(02) Public Shareholding	As at 30.06.2026	As at 30.06.2025
The percentage of shares held by the public	27.78%	27.78%
The number of shareholders representing the public holding	3,673	3,068

Float Adjusted Market Capitalisation

The float adjusted market capitalisation as at 30 June 2026 was Rs. 3,924.5 Mn under Option 4 of Section 7.13.1 (a) of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

(03) List of 20 major shareholders based on their shareholding as at 30 June 2026.

No.	Name	No. of Shares	Percentage
1	Ceylon Grain Elevators PLC	13,469,980	57.21
2	Prima Limited, Singapore	3,532,627	15.00
3	UBS Switzerland AG -Kershaw Property Holding Inc.	617,360	2.62
4	Eka Limited	313,262	1.33
5	Supra Limited, Hong Kong	258,989	1.10
6	Deutsche Bank AG-National Equity Fund	244,000	1.04
7	Mr. G. B. D. Thilakaratne	207,626	0.88
8	People's Leasing & Finance PLC / Mr. I. D. R. Perera	201,560	0.86
9	Mr. O. Senanayake, Mr. D. R. Peiris and Mr. S. P. Perera	179,449	0.76
10	Mrs. P. Wijaya, Mr. P. Ramesh and Mrs. D. Ramesh	160,375	0.68
11	Mr. M. N. S. Laxana	152,143	0.65
12	Citizens Development Business Finance PLC / J. K. D. Jayatillake and A. Jayatillake	140,981	0.60
13	Employees Trust Fund Board	126,875	0.54
14	Commercial Bank of Ceylon PLC / H. G. Balasuriya	120,000	0.51
15	Ranavav Holdings (pvt) Ltd	101,567	0.43
16	Mrs. S. Vasudevan / Mr. S. Vasudevan	100,000	0.42
17	People's Leasing & Finance PLC / S. P. Perera	86,283	0.37
18	Mr. A. S. Ratnayake	83,139	0.36
19	People's Leasing & Finance PLC / O. Senanayake, D. R. Pieris and S. P. Perera	75,584	0.32
20	Mrs. D. M. Fernando (Deceased)	69,908	0.30
	Total	**20,241,708**	**85.98**

CORPORATE INFORMATION

Company Name

Three Acre Farms PLC

Company Registration No.

PQ 195

Registered Office

No.15, Rock House Lane, Colombo 15, Sri Lanka.
Tel : +94 (11) 2522556 or 8 / 2523580 / 2526378 to 2526383
Fax : +94 (11) 2524163
E-mail : info.cge@prima.com.lk

Stated Capital

Rs. 623,604,000

Number of Shares

23,545,000 Ordinary Shares

Lawyers

Varners Lanka Law Office
D.L. & F. De Saram

Auditors

KPMG, Sri Lanka

Company Secretary

S S P Corporate Services (Private) Limited
No. 101, Inner Flower Road, Colombo 3

Bankers

Hatton National Bank PLC
Nations Trust Bank PLC
National Development Bank PLC
Bank of Ceylon
Seylan Bank PLC
Union Bank of Colombo PLC

Name of Directors

Mr. Wickrema Senaka Weerasooria	- Non-Executive Chairman
Mr. Cheng Chih Kwong	- Executive Director and Chief Executive Officer
Mr. Bernard Cheng Koh Chuen	- Non-Executive Director
Mr. Sunil Leeniyagoda	- Non-Executive Director
Mr. I. A. Wickramasinghe	- Non-Executive Independent Director
Mr. T. A. B. Speldewinde	- Non-Executive Independent Director

Directors Shareholding

Mr. Wickrema Senaka Weerasooria	- 2,000 Shares
Mr. Cheng Chih Kwong	- 19 Shares
Mr. Bernard Cheng Koh Chuen	- Nil
Mr. Sunil Leeniyagoda	- Nil
Mr. I. A. Wickramasinghe	- Nil
Mr. T. A. B. Speldewinde	- Nil